

cessing transactions) charges. In the past seven-eight months, we have observed RuPay credit cards linked to UPI, resulting in additional credit spends via RuPay credit cards. These are very initial days, but the numbers are growing,” says Sanjeev Moghe, President and Head of Cards and Payments at Axis Bank. Asbe, too, admits that the RuPay credit card is experiencing significant growth on UPI, with daily spending reaching around ₹150 crore. “We anticipate achieving a 10% market share within the next few months,” says Asbe.

Will POS machines vanish then? Most experts don’t think so. Parag Rao, Country Head of Payments, Consumer Finance, Digital Banking, and Technology at HDFC Bank, says POS machines will still play a role. “Traditional POS systems have evolved, and the new ones are based on the Android platform. They function like mobile phones, allowing you to integrate value-added services and run loyalty programmes,” says Rao.

POS machines are also becoming smaller, and costs are declining due to higher usage. The POS cost has reduced from ₹15,000 when it was started to ₹1,500.

“Higher UPI usage may not hasten the end of the card or cannibalise credit cards. Credit cards come with rewards and free credit periods,” says Moghe of Axis Bank.

Last September, RBI introduced another innovative use case, allowing banks to offer pre-sanctioned credit lines on UPI without any cards. This product provides both retail customers and businesses access to low-ticket, pre-sanctioned credit lines from banks.

“We have started underwriting by using UPI data. We operate a third-generation model, which has been refined over the years. New models evolve every 24 months. We are seeing interesting results even before the credit on UPI officially begins,” says Moghe.

Mohit Gorisariya, Co-founder of fintech platform SalarySe, highlights the low penetration of revolving credit in India. Only 35 million Indians, less than 4% of the population, have access to the product, compared to 40% in China and 65% in western economies. Gorisariya believes that credit-on-UPI can bridge this gap.

While banks have focussed on big-ticket loans, the introduction of micro- and small lending, and lending

GLOBAL AMBITIONS

► UPI is challenging global networks in less than a decade of existence ► Global networks earn a substantial fee, whereas NPCI subsidises UPI



212.6
VISA

170
MASTERCARD

150
UPI

TRANSACTIONS IN BILLION; **NOTE** 2022-23 DATA EXCEPT FOR VISA, WHICH FOLLOWS A CALENDAR YEAR **SOURCE** ANNUAL REPORTS AND PRESENTATIONS



KUNAL KALAWATIA
CHIEF OF
PRODUCTS, NPCI

“The NPCI follows a systematic approach that integrates design thinking. This involves... engaging with the ecosystem, gathering ideas, conducting a feasibility check, and then developing them”